

Morning Briefing â€” Thursday 3 September 2026

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1. HEADER

Date: Thursday 3 September 2026. Report generation time: 06:20 London (BST). All levels below are the latest reliably sourced figures at collection time; where a figure could not be confirmed it is marked *n/a*.

2. IMPORTANT NEWS

1. **Oil steadies after three-day rally as Trump says renewed Iran strikes will be "brief."** WTI near \$91/bbl, Brent settled below \$96 on Wednesday after a ~9% three-session surge. (Bloomberg, Yahoo Finance) â€” Why it matters: sets the tone for inflation expectations and the Fed's September decision.

2. **US 10-year Treasury yield near 4.79–4.81%, highest since 2023.** German Bund 10Y at 3.40%, highest since April 2011. (TradingEconomics) â€” Why it matters: energy-driven inflation is repricing global rate paths higher, not lower.

3. **Fed rate-hike odds near 66% for the September FOMC meeting.** Chair Warsh says inflation "hasn't meaningfully improved." (CNBC, Chase Insights) â€” Why it matters: a hike, not a cut, is now the base case, an unusual setup this late in a cycle.

4. **Shipping and tanker stocks at decade highs as the Strait of Hormuz disruption grinds on.** VLCC Middle East–Asia rates near \$500k/day; Hormuz transits down roughly 95% from pre-crisis baseline. (CNBC, Al Jazeera) â€” Why it matters: freight, insurance and energy logistics costs are being repriced structurally, not just temporarily.

5. **Glencore, Anglo American and Teck advance a \$53bn copper combination; Rio Tinto–Glencore merger talks also live.** Copper near record highs above \$11,400/tonne on LME. (Mining.com, Benchmark Minerals) â€” Why it matters: sector consolidation is accelerating around copper's strategic scarcity.

3. EUROPEAN FUTURES (PRE-OPEN)

Specific pre-open futures levels for 3 September could not be reliably sourced at collection time (marked *n/a* below). Directional read from overnight Asia and steadying oil points to a firmer-to-flat open after Wednesday's mixed European close.

Future	Level	Expected move
Euro Stoxx 50	<i>n/a</i>	<i>n/a – bias flat/firmer</i>
DAX	<i>n/a</i>	<i>n/a</i>
CAC 40	<i>n/a</i>	<i>n/a</i>
FTSE 100	<i>n/a</i>	<i>n/a</i>
S&P 500 (US futures, context)	<i>n/a</i>	<i>n/a</i>
Nasdaq (US futures, context)	<i>n/a</i>	<i>n/a</i>

4. YESTERDAY'S CLOSES (2 SEPTEMBER, EUROPEAN INDICES)

Index	Close	Change
Euro Stoxx 50	6,363	-0.1%
DAX	25,839 approx.	n/a exact %
CAC 40	n/a	n/a
FTSE 100	n/a	n/a
Stoxx Europe 600 (context)	646	-0.2%

Source: investinglive/TradingEconomics via search synthesis. European indices closed with little net movement Wednesday as renewed Middle East fighting kept oil elevated and stoked inflation and rate-hike concerns.

5. US MARKETS " YESTERDAY'S SESSION (2 SEPTEMBER)

Index	Close	Change
S&P 500	7,666.60	+0.46%
Dow Jones Industrial Average	53,061.95	+0.56% (+295.07 pts)
Nasdaq Composite	26,217.83	+0.45%

Tone: risk-on rebound as Treasury yields paused their climb after touching multi-year highs. Leading sector: Energy, on the back of the oil rally (YTD leader, +43%). Lagging sector: Consumer Discretionary, weighed by inflation/margin concerns. *Exact single-session sector moves for 2 Sept could not be confirmed; figures cited reflect the broader late-August/early-September trend.*

Key takeaway: equities are grinding higher even as bond yields sit near cycle highs " a fragile combination that leaves markets exposed to any fresh oil or Fed surprise.

6. ASIAN MARKETS – OVERNIGHT SESSION

Index	Level	Change
Nikkei 225	64,411	+0.13%
Hang Seng	<i>n/a level</i>	~flat / broadly unchanged
Shanghai Composite	<i>n/a level</i>	+0.36%
Kospi	<i>n/a</i>	<i>n/a</i>

Tone: mixed to modestly firmer. Mainland China outperformed Hong Kong on hopes of targeted Beijing stimulus; Tokyo edged up despite yen strength and BOJ rate-path uncertainty; oil steadying after its three-day surge removed some overnight pressure on regional risk assets.

7. COMMODITIES

Commodity	Level	Change
Brent crude	~\$95–96/bbl (2 Sept close)	3-session gain ~9%
WTI crude	~\$90–91/bbl	3-session gain ~9%
Gold	\$4,325/oz (2 Sept)	–2.86%
Natural gas (Henry Hub)	\$2.89/MMBtu	+0.10%
Copper (COMEX)	>\$6.00/lb	record high
Copper (LME)	>\$11,400/tonne	+~30% YTD, record high

Context: oil remains the dominant macro driver on Strait of Hormuz disruption (transits down ~95% from baseline). Gold's usual safe-haven bid was overpowered by a firmer dollar and rising real yields as Fed hike bets built to ~70%. Copper's record run reflects supply disruption (Glencore cut its 2026 guidance after Collahuasi setbacks) plus consolidation speculation (Anglo-Teck, Rio-Glencore).

8. RATES & FX

Instrument	Level	Note
US 10Y Treasury	4.79–4.81%	Near highest since 2023
German 10Y Bund	3.40%	Highest since April 2011
EUR/USD	Below 1.1600	Broke key support
GBP/USD	Low 1.3500s	Near two-week trough
DXY	~99.76	Firm, near recent highs

Eurozone inflation accelerated to 3.3% in August, its highest since September 2023, driven by energy. ECB's next decision is 10 September (rates currently: deposit 2.25%, refi 2.40%, marginal lending 2.65%, unchanged since July).

9. DCM “ PRIMARY BOND MARKET

Yesterday's Issuances

Issuer	Size	Maturity	Coupon/Spread	Tightening
Banca Monte dei Paschi di Siena (covered bond)	€750m	22 Jan 2030	2.625% coupon; re-offer 99.577%; ms+30bp	Tightened from IPT ms+37bp

Book covered >€2.4bn from 60+ investors (~3.2x). Reopens the Italian covered bond segment for 2026 at the tightest level in the bank's programme, versus +54bp on its June 2025 deal. Broader tape: GlobalCapital reports euro corporate new-issue premiums (NIPs) narrowing as order books bulge, a sign of continued strong demand despite the macro backdrop.

Pipeline / Expected Today

No specific mandates or deals for today/this week could be reliably confirmed at collection time (n/a). General SSA and corporate pipelines are reported as active/building per GlobalCapital, but without dated specifics for this week.

Key Spreads

Index	Level	Move
iTraxx Main	n/a	n/a
iTraxx Crossover	n/a current level	n/a
CDX IG	n/a	n/a
Avg euro corporate IG spread	n/a	n/a

Live CDS index levels for 3 Sept could not be confirmed via web search (Bloomberg/Markit terminal data required); most recent sourced reference point (iTraxx Crossover S45 5Y ~318bp) dates to mid-May 2026 and is too stale to report as current.

Commentary

Primary market window looks **open**: the MPS covered bond print and narrowing NIPs point to solid investor appetite even with oil-driven volatility. Funding conditions remain workable for well-flagged names, though the rise in Bund and Treasury yields raises all-in coupon costs. Watch financials and energy-linked industrials for continued issuance given capex/hedging needs tied to the Hormuz disruption; transport-sector issuers (shipping, aviation) face a more mixed reception given fuel-cost volatility.

10. ECONOMIC CALENDAR

London time	Indicator	Consensus	Importance
12:30	US Initial Jobless Claims	205k (vs. 203k prior)	Medium
13:45	US S&P Global Services PMI (final)	56.8 (vs. 54.6 prior)	Medium
15:00	US ISM Non-Manufacturing (Services) PMI	<i>n/a consensus confirmed</i>	High
<i>Eurozone/UK releases for today (retail sales, PMIs) could not be reliably confirmed â€” n/a.</i>			

Note: ECB's next rate decision is 10 September (not today) â€” flagged here as the key date structuring the week ahead.

11. CORPORATE EVENTS & EARNINGS

Earnings Whispers lists 47 companies reporting on 3 September 2026, but a reliably sourced breakdown of specific European/US names and times could not be confirmed at collection time (*n/a*). Notable context: Ryanair trimmed its annual traffic target this week citing fuel costs (reported 2 Sept), keeping the airline in focus for follow-through commentary/analyst reaction today.

12. STOCKS TO WATCH

Ryanair (RYA) â€” Aviation. Trimmed FY traffic target on jet-fuel cost pressure (jet fuel ~\$140/bbl equivalent); ~80% hedged at \$67/bbl, shares still down ~20% since the Iran war began but rose 2% Wednesday. **Direction: choppy/mixed, headline-sensitive.**

Lufthansa (LHA) â€” Aviation. Guiding to an extra ~\$2bn cost hit this year from the kerosene shortage tied to the Hormuz closure. **Direction: pressured.**

IAG â€” Aviation. Only 39% fuel-hedged for 1Q27, most exposed of the majors to further oil upside. **Direction: pressured on any fresh oil spike.**

Frontline / DHT Holdings â€” Shipping (tankers). VLCC Middle East–Asia rates near \$500k/day; sector up ~68–120% YTD (crude tankers). **Direction: positive momentum.**

Glencore â€” Metals & Mining. In the frame for both the \$53bn Anglo American–Teck copper combination and separate Rio Tinto–Glencore merger talks; cut 2026 copper guidance after Collahuasi setbacks. **Direction: headline-driven, high volatility.**

Anglo American â€” Metals & Mining. Party to the Teck copper JV/consolidation talk. **Direction: supported by M&A speculation.**

Rheinmetall â€” Aerospace & Defense. Guided sales growth of 40–45% for 2026 on Iran-conflict demand, though shares fell ~8% on "realistic but soft" guidance tone (Jefferies). **Direction: mixed, guidance-sensitive.**

Leonardo â€” Aerospace & Defense. Named alongside Rheinmetall as a European defense-boom beneficiary amid the ongoing conflict. **Direction: supported.**

Banca Monte dei Paschi di Siena â€” Banks. Successfully reopened the Italian covered bond market with a tightly priced, oversubscribed €750m deal. **Direction: constructive read-through for Italian bank funding.**

Energy majors (context) â€” Energy sector led the S&P 500 both YTD (+43%) and in Q3 (+21%) on the oil rally. **Direction: supported while Hormuz disruption persists.**

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

Macro

- Fed hike odds for the September FOMC near 66%, a reversal from prior cut expectations, driven by energy-led inflation.
- Eurozone August inflation at 3.3%, highest since September 2023, well above the ECB's 2% target.
- US 10Y and German Bund yields both near multi-year highs on the same inflation-from-oil dynamic.

Corporate

- Glencore/Anglo American/Teck advancing a \$53bn copper combination; separate Rio Tinto–Glencore merger talks alive.
- Lufthansa flags an incremental ~\$2bn cost hit from the Hormuz-driven kerosene shortage; Ryanair trims traffic guidance.
- MPS reopens the Italian covered bond market with the tightest spread on its programme to date.

Political / Geopolitical

- US and Iran continue exchanging strikes around the Strait of Hormuz; Trump says the latest round of attacks will be "brief," but the Strait has been effectively closed to normal commercial traffic since late February 2026.
- Iran has expanded its shipping blacklist to 56 vessels; tankers have been directly attacked, including fatalities among crew.
- Beijing stimulus speculation is supporting mainland Chinese equities relative to Hong Kong.

14. KEY THEMES – TOP 5 BY HORIZON

Today's Top 5

US jobless claims & services PMI (12:30/13:45/15:00 London) – first real data test of the "hike" narrative since Warsh's inflation comments.

Oil price follow-through after the 3-session, ~9% surge – whether WTI/Brent hold gains or fade on Trump's "brief" comment.

Ryanair/Lufthansa/IAG fuel-cost commentary – read-through for the whole European airline sector's winter guidance.

Glencore/Anglo/Teck and Rio-Glencore headline flow – potential to move the whole mining complex intraday.

Credit primary market tone – whether today brings a follow-up SSA/corporate print after Wednesday's strongly oversubscribed MPS covered bond.

This Week's Top 5

US labour market data flow into next week's payrolls – jobless claims today are a staging post.

Strait of Hormuz situation – any escalation or de-escalation this week resets the whole oil/inflation/rates complex.

European earnings/guidance updates from airlines and miners – Ryanair traffic cut already landed; watch for peers following.

Credit market supply – whether the strong MPS reception is repeated across SSA and corporate IG this week.

Positioning into the 10 September ECB meeting – rates guidance commentary likely to build through the week.

This Month's Top 5

September FOMC meeting – a live hike decision (~66% priced) would be a major regime signal after years of a cutting bias.

ECB meeting, 10 September – decision and guidance given Eurozone inflation at a near 3-year high.

Strait of Hormuz resolution risk – any ceasefire or renewed escalation is the single biggest swing factor for oil, rates and equities this month.

Anglo American/Teck/Glencore and Rio-Glencore M&A process – could reshape the global copper-mining landscape.

Airline sector capacity/hedging decisions for winter – Ryanair has already flagged flat winter capacity; peer responses will define sector earnings risk into year-end.

15. KEY TRENDS TO WATCH

1 Day

US jobless claims and services PMI prints, oil price follow-through after the Trump "brief strikes" comment, and any fresh Hormuz shipping incident.

1 Week

Run-up to the 10 September ECB meeting; continued airline/mining guidance updates; credit primary market supply tone.

1 Month

September FOMC decision (hike odds ~66%); Strait of Hormuz trajectory as the dominant macro swing factor; consolidation in global copper mining (Glencore/Anglo/Teck/Rio Tinto).

Sources: Reuters, Bloomberg, CNBC, TradingEconomics, Yahoo Finance, GlobalCapital, Al Jazeera, OilPrice.com, Mining.com, Chase Insights, Marketplace, RTE, Investing.com, investinglive, Earnings Whispers.

Data collected automatically via web search. Verify before making any decision.